

CHILDCARE AFFORDABILITY IN THE U.S.:

**PRICE GROWTH, AFFORDABILITY BURDEN, AND WORKFORCE
IMPLICATIONS**

DAVID WEDERSTRANDT

INTRODUCTION

This briefing evaluates childcare affordability as an economic risk factor, not only a household budgeting issue.

The analysis connects three questions:

- How fast are childcare costs rising?
- Which family segments face the highest burden?
- How does burden relate to workforce participation?

SUMMARY

- Childcare costs rose materially over the last decade.
- Affordability pressure is a function of both price and income.
- Infant care is the highest-cost segment and the highest near-term burden.
- Higher burden is associated with lower labor force participation.
- Targeted policy and employer actions can reduce burden and stabilize workforce outcomes.

OBJECTIVE AND SCOPE

Objective

Assess how childcare pricing translates into affordability burden and how burden relates to workforce outcomes.

Scope

- National-level trend view
- Cost variation by child age
- County-style affordability comparison
- Workforce participation by burden category

METHODS AND DEFINITIONS

- **Affordability burden** is defined as:

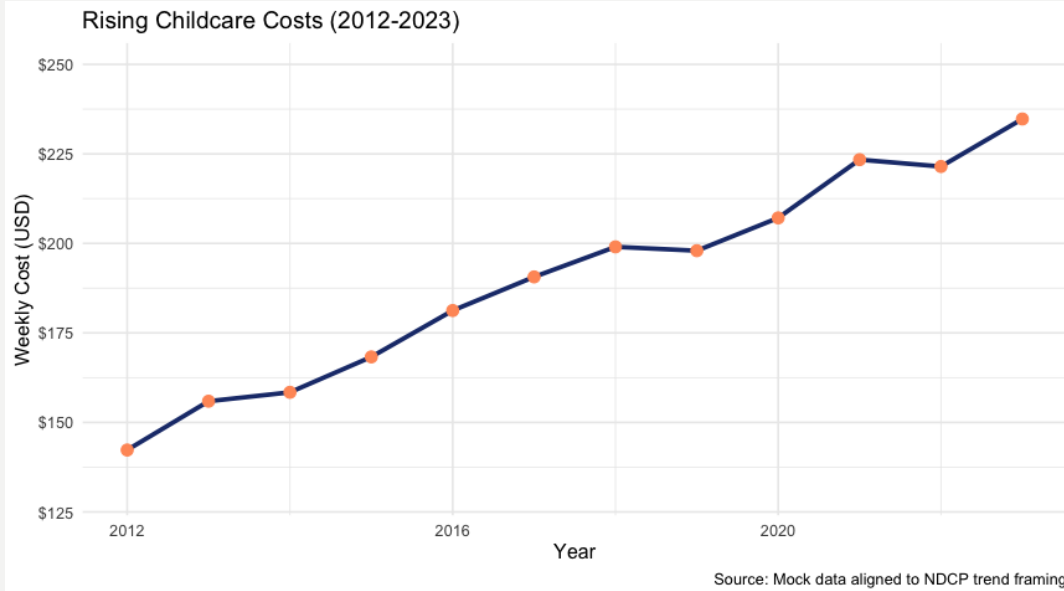
$$\text{Burden \%} = \frac{\text{Annual Childcare Cost}}{\text{Annual Household Income}} \times 100$$

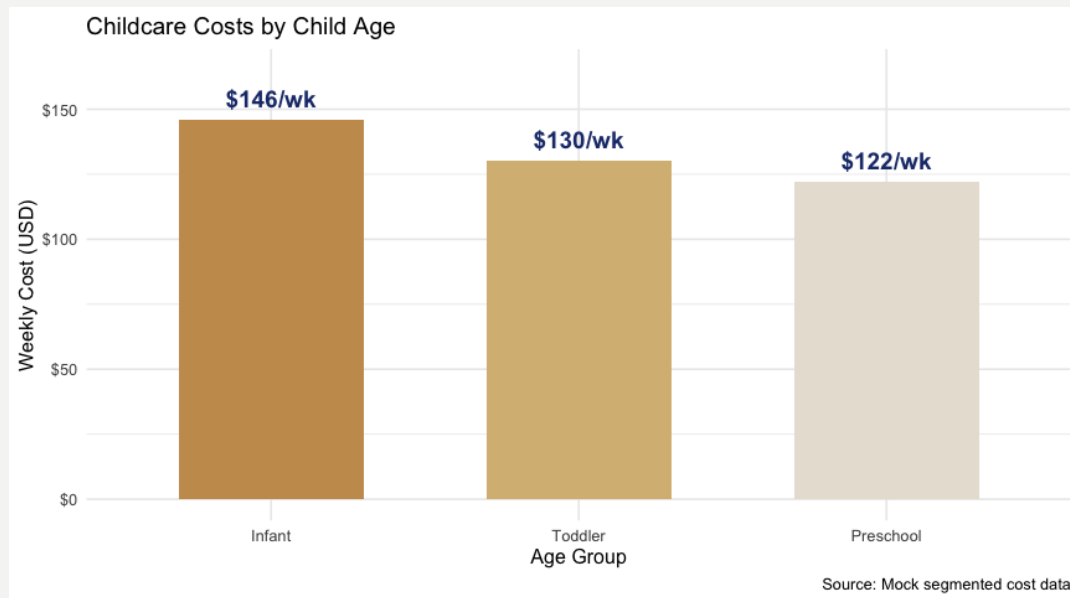
- **Reference threshold:** 7% of household income.
- Charts are designed for directional interpretation and decision support.

COSTS ROSE SHARPLY FROM 2012 TO 2023

Weekly cost increases from about \$145 to \$238.

Affordability pressure is rising even before income disparities are considered.





INFANT CARE IS THE COST PEAK

Infant care is about 20% above preschool care.

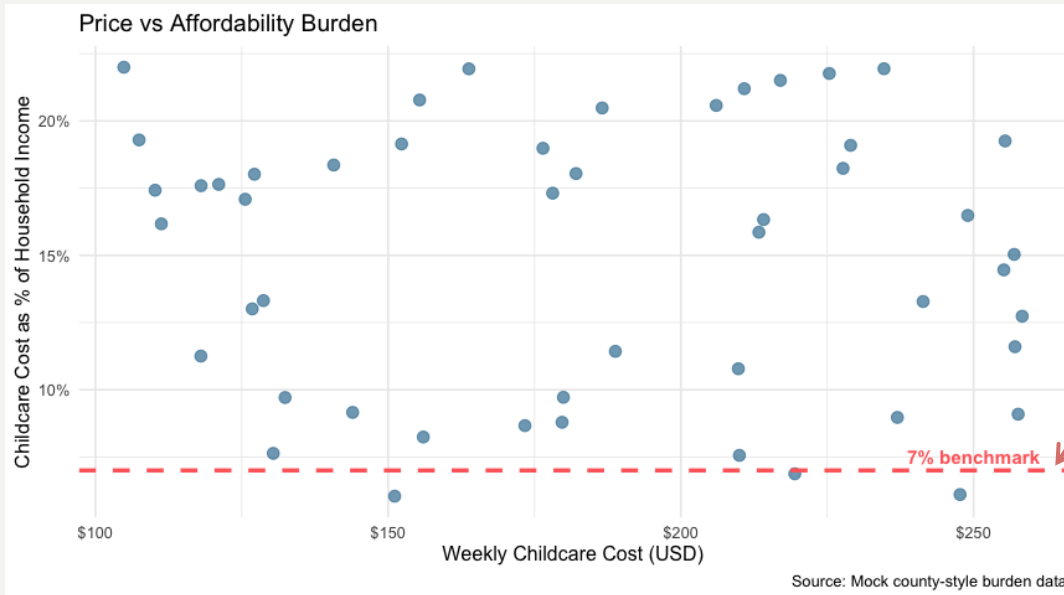
The highest-cost period overlaps with the highest workforce-exit risk.

INCOME CONTEXT DRIVES AFFORDABILITY BURDEN

Similar prices produce very different burdens across income contexts.

Most observations sit above the 7% affordability benchmark.

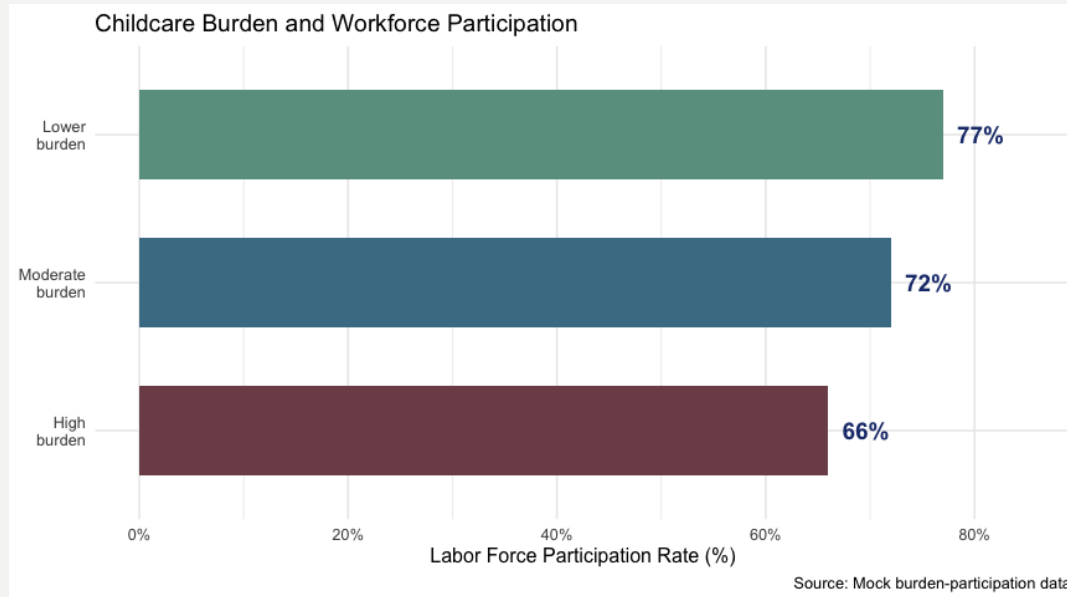
Burden-based targeting is more precise than price-only targeting.



HIGHER BURDEN ALIGNs WITH LOWER PARTICIPATION

High-burden households show an 11-point participation gap.

Childcare affordability should be managed as workforce policy and economic policy.





STRATEGIC IMPLICATIONS

- **For policymakers:** Index assistance to burden and child age, not only sticker price.
- **For employers:** Expand dependent-care benefits and flexible work design.
- **For communities:** Improve awareness and navigation of subsidy and tax-credit options.
- **For measurement:** Track burden % as a lead indicator for participation risk.

RECOMMENDATIONS

1

Prioritize interventions where burden exceeds 7%.

2

Add targeted infant-care supports to reduce highest-risk cost periods.

3

Encourage employer co-investment in dependent care support.

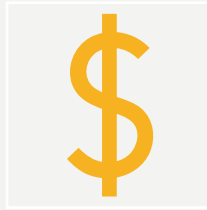
4

Standardize affordability dashboards using burden and participation metrics.

CONCLUSION



Childcare affordability is a structural workforce and economic issue, not only a household budgeting issue.



Price trend, income context, and participation outcomes indicate sustained pressure.



Executive action should focus on burden-based targeting, segment-specific supports, and coordinated policy-employer response.

REFERENCES

Child Care Aware of America. (n.d.). *Price landscape 2024*.

<https://www.childcareaware.org>

Child Care Aware of America. (n.d.). *Cost of child care*.

<https://www.childcareaware.org/families/cost-child-care/>

TOOTRiS. (n.d.). *Child care in Texas can cost up to \$10,000*.

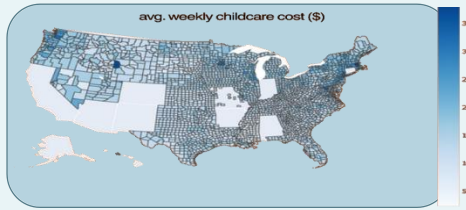
<https://tootris.com/edu/blog/parents/child-care-in-texas-can-cost-up-to-10000/>

OpenAI. (2026). *ChatGPT* (Apr 25 version) [Large language model].

<https://chat.openai.com/>

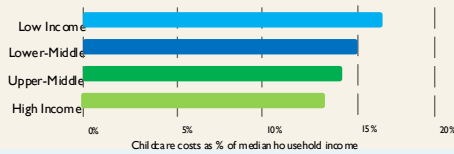
Infographic

Childcare Affordability Across U.S. Counties



Why childcare prices alone do not tell the full story

Cost Burden by Income Level



Where Higher Costs Are Found



Childcare Costs by Age Group

Infant Care

\$ 146 /
week

Toddler Care

\$ 130 /
week

Preschool Care

\$ 122 /
week

BLOG POST

Introduction: Why This Matters

Why Childcare Affordability Matters

How Childcare Costs Have Risen

The Age Factor: Not All Childcare Costs Are Equal

The Critical Distinction: Price vs. Affordability

The Workforce Impact: How Affordability Shapes Economic Participation

What Can You Do? A Guide to Smart Childcare Decisions

The Bottom Line

References

The Real Cost of Childcare: Why Affordability Matters for Your Family

Understanding the gap between price and what families can actually afford

David Wederstrandt

2026-04-25

Introduction: Why This Matters

Childcare costs are rising faster than wages. But here's the surprising truth: **the most expensive childcare doesn't always hurt families the most.** This is because affordability isn't just about the price tag—it's about what percentage of your income goes toward care.

Whether you're a working parent, a job seeker weighing your options, or an advocate fighting for better policies, understanding childcare affordability can change how you approach this critical decision. Let's explore the data together.

Introduction: Why This Matters

Why Childcare Affordability Matters

How Childcare Costs Have Risen

The Age Factor: Not All Childcare Costs Are Equal

The Critical Distinction: Price vs. Affordability

The Workforce Impact: How Affordability Shapes Economic Participation

What Can You Do? A Guide to Smart Childcare Decisions

The Bottom Line

References

Why Childcare Affordability Matters

Childcare is often framed as a simple family budgeting issue, but the reality is far more complex. For millions of households, **childcare costs are a workforce decision point**.

Consider this: A family earning \$30,000/year spending \$5,000 on childcare faces a very different situation than a family earning \$150,000/year spending the same amount. The first family uses nearly **17% of their income**, while the second uses just **3%**. Most experts recommend childcare shouldn't exceed **7% of household income**.

Key Insight: Two families paying identical childcare prices may face completely different levels of affordability stress based on their income level.

This blog explores the real data behind childcare affordability and shows why policy solutions must go beyond just addressing price—they need to address the income gap.

How Childcare Costs Have Risen

A Decade of Rising Costs

Over the past decade, childcare costs have skyrocketed. From **\$145 per week in 2012** to **\$238 per week in 2023**, the average weekly childcare cost has increased by more than **60%**—far outpacing inflation.

This trend shows no signs of slowing down, meaning families today face unprecedented affordability challenges.

Introduction: Why This Matters

Why Childcare Affordability Matters

How Childcare Costs Have Risen

A Decade of Rising Costs

The Age Factor: Not All Childcare Costs Are Equal

The Critical Distinction: Price vs. Affordability

The Workforce Impact: How Affordability Shapes Economic Participation

What Can You Do? A Guide to Smart Childcare Decisions

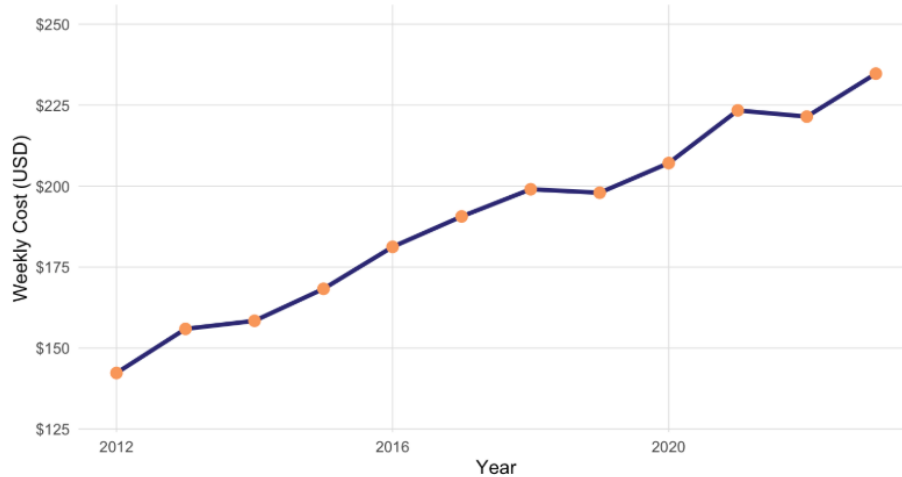
The Bottom Line

References

This trend shows no signs of slowing down, meaning families today face unprecedented affordability challenges.

Rising Childcare Costs (2012-2023)

Average weekly childcare cost has increased 60% in one decade



Source: Mock data based on NDCP trends

The Age Factor: Not All Childcare Costs Are Equal

One surprising discovery: **infant care costs nearly 20% more than preschool care.**

This matters because families with newborns face the highest costs at precisely the moment when they're most likely to reduce work hours or leave the workforce entirely.

Introduction: Why This Matters
Why Childcare Affordability Matters
How Childcare Costs Have Risen

The Age Factor: Not All Childcare Costs Are Equal

Why Are Infants More Expensive?

The Critical Distinction: Price vs. Affordability

The Workforce Impact: How Affordability Shapes Economic Participation

What Can You Do? A Guide to Smart Childcare Decisions

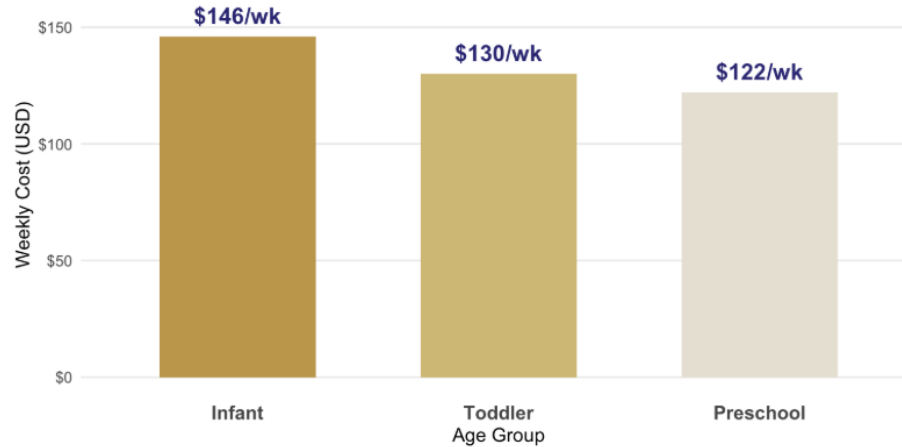
The Bottom Line

References

to reduce work hours or leave the workforce entirely.

Childcare Costs by Child Age

Infant care commands a 20% premium over preschool care



Source: Mock data

Why Are Infants More Expensive?

Infant care requires: - **Smaller caregiver-to-infant ratios** (regulated by law) - **More specialized training** in infant development - **Higher staff salaries** due to specialized skills - **More frequent attention** and personalized care routines

Introduction: Why This Matters
Why Childcare Affordability Matters
How Childcare Costs Have Risen
The Age Factor: Not All Childcare Costs Are Equal

The Critical Distinction: Price vs. Affordability

The Workforce Impact: How Affordability Shapes Economic Participation

What Can You Do? A Guide to Smart Childcare Decisions

The Bottom Line

References

The Critical Distinction: Price vs. Affordability

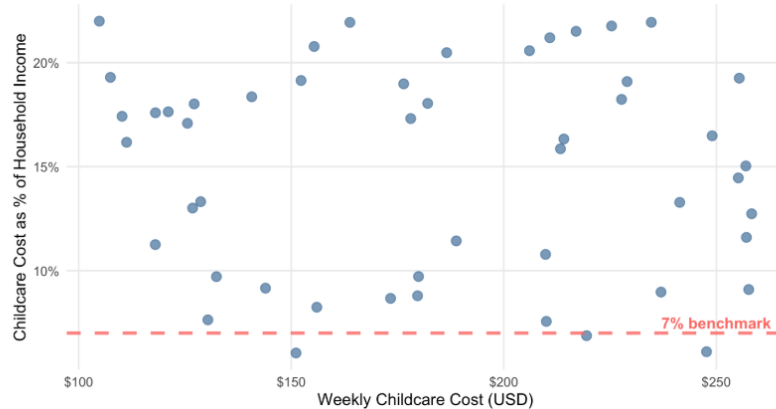
Here's where the story gets interesting. **Price alone doesn't determine affordability.** Two regions can have identical childcare prices but vastly different affordability situations based on local incomes.

For example: - A county with **\$200/week childcare** and a **\$25,000 median household income = 40% of income** (severely unaffordable) - Another county with **\$200/week childcare** and **\$100,000 median household income = 10% of income** (more manageable)

The relationship between cost and affordability burden is critical for policy makers to understand.

Price vs. Affordability: The Hidden Story

Most U.S. counties exceed the 7% affordability threshold



Source: Mock county-level data

The 7% Rule: Child development experts and policy organizations recommend childcare costs shouldn't exceed 7% of gross household income. However, many U.S. families exceed this threshold, creating severe affordability stress.

Introduction: Why This Matters
Why Childcare Affordability Matters
How Childcare Costs Have Risen
The Age Factor: Not All Childcare Costs Are Equal
The Critical Distinction: Price vs. Affordability
The Workforce Impact: How Affordability Shapes Economic Participation
What This Means
What Can You Do? A Guide to Smart Childcare Decisions
The Bottom Line
References

The Workforce Impact: How Affordability Shapes Economic Participation

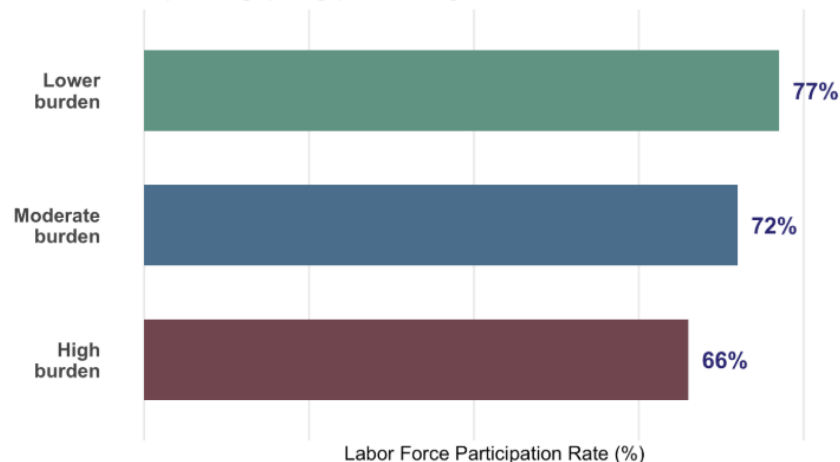
Here's the bottom line: **Childcare affordability directly impacts whether parents can work.**

Families facing high childcare burdens make difficult trade-offs: - Reduce work hours to cover childcare costs - Exit the workforce entirely - Delay return-to-work after parental leave - Turn down promotions requiring more hours

The data shows a clear pattern:

Childcare Burden and Workforce Participation

An 11 percentage point gap between high and low burden households



Source: Mock data

Introduction: Why This Matters
Why Childcare Affordability Matters
How Childcare Costs Have Risen
The Age Factor: Not All Childcare Costs Are Equal
The Critical Distinction: Price vs. Affordability
The Workforce Impact: How Affordability Shapes Economic Participation
What This Means
What Can You Do? A Guide to Smart Childcare Decisions
The Bottom Line
References

What This Means

An **11 percentage point difference** in workforce participation between families with high and low childcare burdens represents: - Lost income for families - Reduced tax revenue for communities - Decreased economic productivity - Lost career momentum for parents

This is not just a personal challenge—it's an **economic issue** with community-wide implications.

What Can You Do? A Guide to Smart Childcare Decisions

Understanding childcare affordability empowers you to make better decisions for your family. Here's your action plan:

For Parents and Caregivers

Compare Using Affordability, Not Just Price - Calculate your own affordability ratio: $(\text{Annual childcare cost} \div \text{Annual household income}) \times 100$ - Compare this percentage across options, not just the dollar amounts - Aim to stay below the 7% benchmark

Ask These Questions of Providers - "What are your ratios of staff to children in each age group?" - "What is the professional development of your staff?" - "Can you work with my schedule flexibility needs?" - "Do you offer sliding scale fees or accept subsidies?"

Explore Your Options - Subsidy Programs: Many states offer childcare subsidies for low-income families - **Employer Benefits:** Some employers offer childcare FSA accounts or on-site childcare - **Cooperative Models:** Some communities have parent co-ops with lower costs - **Tax Credits:** The Child and Dependent Care Credit and Child Tax Credit may help

Introduction: Why This Matters
Why Childcare Affordability Matters
How Childcare Costs Have Risen
The Age Factor: Not All Childcare Costs Are Equal
The Critical Distinction: Price vs. Affordability
The Workforce Impact: How Affordability Shapes Economic Participation
What Can You Do? A Guide to Smart Childcare Decisions
For Parents and Caregivers
For Employers and Policymakers
For Community Advocates
The Bottom Line
References

For Employers and Policymakers

Support Your Workforce - Offer dependent care FSA benefits to employees - Consider subsidizing childcare costs for key staff - Provide flexible work arrangements to reduce childcare demand - Partner with local childcare providers for priority access

Advocate for Policy Change - Support childcare subsidy expansion for low-income families - Advocate for quality standards that improve staff compensation - Push for tax policies that ease affordability burden - Invest in childcare infrastructure in your community

For Community Advocates

Spread the Word - Share this data with community organizations - Help families calculate their affordability ratios - Connect families to available subsidies and resources - Advocate for stronger childcare policies

The Bottom Line

Childcare affordability is **not just a personal issue**—it's an economic and social justice issue. When families can't afford quality childcare, entire communities suffer economically.

The solution requires action on multiple levels: - **Personal:** Make informed decisions using affordability metrics - **Community:** Connect families to resources and support - **Policy:** Expand subsidies and support programs - **Systemic:** Build more affordable childcare options

The good news? Understanding affordability is the first step toward change. When we look beyond price and address the real burden families face, we can create meaningful solutions.

References

Child Care Aware of America. (n.d.). *Price landscape 2024*. <https://www.childcareaware.org>

Child Care Aware of America. (n.d.). *Cost of child care*. <https://www.childcareaware.org/families/cost-child-care/>

Childcare Affordability & Workforce Participation Across U.S. Counties

David Wederstrandt

Bellevue University

DSC 640 Data Presentation and Visualization

May 7, 2026

Summary of Analysis

Findings

This project analyzed childcare affordability as both a household budget issue and a workforce participation issue for families with young children. Across Milestone 1 and Milestone 3, the strongest pattern was that infant care is the highest-cost category. That affordability burden depends on the relationship between price and household income, not price alone. The 7% benchmark was used as a practical decision threshold (Child Care Aware of America, n.d.-b). This framing kept the analysis focused on decision usefulness rather than on descriptive statistics alone.

Across the final deliverables, four findings guided the story. First, childcare prices increased substantially, with trend visuals showing costs rising from about \$145 per week in 2012 to \$238 in 2023 (roughly 60%). Second, age-group differences matter: infant care was consistently higher than toddler and preschool care. Third, the affordability burden varied sharply by income context, so areas with similar prices could have very different burden ratios once income was included. Fourth, higher burden categories aligned with lower maternal workforce participation, including an approximately 11-point gap between low- and high-burden groups in the project narrative.

Assumptions

Weekly childcare costs were annualized over 52 weeks for affordability calculations. Median values were used as representative values for county-level or grouped summaries. Benchmark comparisons relied on the 7% affordability threshold. In early exploration, imputed observations were included when flagged and interpreted as directional rather than definitive. These assumptions made cross-region and cross-year comparisons possible within a single framework.

Items Still Needing Clarification

Three questions remain for future refinement: whether imputed years should be moved to sensitivity-only views, whether county rollups should be explicitly weighted by population or by children under 5, and whether separate recommendations are needed for full-time versus before- and after-school care. Clarifying these areas would strengthen methodological transparency and improve reproducibility.

Direction of Story

The core message is that affordability, not raw price, should guide family choices and policy design. The story moves through four stages: frame rising costs and age-group burden; introduce the affordability ratio logic; connect burden to workforce outcomes; and end with role-specific actions for parents, employers, and policymakers. This sequence keeps the narrative practical by moving from evidence to decisions, and it helps audiences see that individual choices and structural constraints operate simultaneously.

Target Audience

The primary audience is new mothers and caregivers considering childcare and returning to work during the early parenthood period. Secondary audiences include employers, community organizations, and policy advocates who influence benefit access, subsidy awareness, and local childcare support systems. This audience strategy reflects the reality that caregiving decisions are made at the household level, but barriers are often systemic.

Mediums

Three mediums were used: a presentation, an infographic, and a blog post. The presentation supports guided live explanation and Q&A, the infographic supports quick scanning and sharing for busy caregivers, and the blog supports deeper asynchronous learning for readers who want fuller context. Together, these formats improve reach and retention by matching message depth to audience needs and offering both short-form and long-form pathways to the same key takeaways.

Design Decisions

Design choices prioritized clarity and low cognitive load. The visual hierarchy emphasized the most decision-relevant indicators: weekly age-group costs, the affordability ratio relative to the 7% benchmark, and workforce participation differences. A consistent navy-and-orange palette and plain-language annotations were used across

outputs to improve readability. Medium-specific visual uniqueness was also intentional, so each deliverable used distinct charts tailored to its communication purpose rather than duplicating the same visuals everywhere.

Ethical Considerations

Changes Made to the Data

The data were cleaned for missing values, standardized to comparable units, and transformed into affordability measures such as annual childcare costs and childcare costs as a percentage of income. These changes were necessary to support consistent cross-county and cross-year comparisons, but they should be described clearly so readers understand how the final measures were produced.

Legal or Regulatory Guidelines

This project relied on public, aggregate data rather than personally identifiable information, which reduces privacy and compliance concerns. Even so, the paper still needs to follow basic ethical data-use practices such as accurate citation, faithful representation of source findings, and avoiding claims that go beyond the evidence.

Risks Created by Transformations or Presentation

One ethical risk is that summarized visuals may make patterns appear more certain or more universal than they really are. Another risk is that readers may interpret the relationship between affordability and workforce participation as causal when the analysis supports only association.

Assumptions and Filtering

The analysis assumes that annualizing weekly childcare costs over 52 weeks and using the 7% benchmark provides a reasonable affordability framework. Any excluded, imputed, or summarized data should be identified clearly so readers can see what was included, what was limited, and where interpretation should remain cautious.

Data Sourcing and Verification

Credibility was supported by using established sources and by checking core claims across multiple references rather than relying on a single source. Benchmark guidance

from Child Care Aware of America and supporting context from related childcare sources helped keep the narrative grounded in publicly available evidence (Child Care Aware of America, n.d.-a; Child Care Aware of America, n.d.-b; TOOTRiS, n.d.).

Ethical Data Acquisition

The data were acquired ethically because they came from public, non-sensitive sources intended for public use and analysis. No personal records, confidential household information, or restricted datasets were used in this project.

Mitigating Ethical Implications

These ethical concerns can be reduced by documenting transformations, labeling assumptions, and clearly distinguishing correlation from causation throughout the paper and visuals. It is also important to note source limitations, so the findings are presented as decision-support evidence rather than absolute conclusions.

Lessons Learned

What I Would Do Differently Next Time

If I were to do this project differently next time, I would add weighting and uncertainty treatment earlier in the pipeline and formalize a sensitivity appendix so methodological choices are visible without overloading the main narrative. I would also run additional audience testing before finalizing the visual hierarchy to improve clarity of communication.

What I Enjoyed the Most

What I enjoyed most about this project was translating analysis into practical, audience-specific actions. Building a connected story across presentation, infographic, and blog made the project feel useful beyond class requirements. The process reinforced the role of data storytelling in fostering empathy and supporting evidence-based decision-making.

References:

Child Care Aware of America. (n.d.-a). Price landscape 2024.

<https://www.childcareaware.org>

Child Care Aware of America. (n.d.-b). Cost of child care.

<https://www.childcareaware.org/families/cost-child-care/>

TOOTRiS. (n.d.). Child care in Texas can cost up to \$10,000.

<https://tootris.com/edu/blog/parents/child-care-in-texas-can-cost-up-to-10000/>

OpenAI. (2026). ChatGPT (Apr 25 version) [Large language model].

<https://chat.openai.com/>